NOMURA

Global Markets Research

30 June 2026

MediaTek 2454.TW 2454 TT

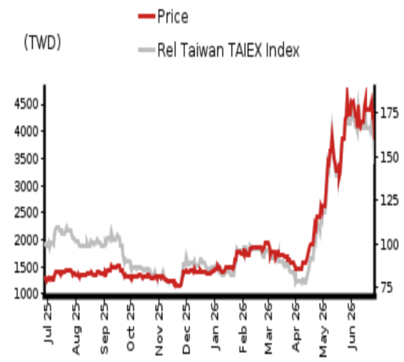
EQUITY: FABLESS

The benefit of the doubt; Buy with a higher TP

Right ASIC customer, share gain (at TPU), content expansion (from v.8 to v.9) and price hikes (for non-AI)

Rating Remains	**Buy**
Target price Increased from TWD 3,400.00	**TWD 5,800.00**
Closing price 26 June 2026	**TWD 3,880.00**
Implied upside	**+49.5%**
Market Cap (USD mn)	195,149.2
ADT (USD mn)	1,406.2

Relative performance chart



Source: LSEG, Nomura

Reiterate our Buy rating with a higher TP of TWD5,800

MediaTek's share price has entirely reversed its multi-year underperformance from April 2026 (see our 31 March upgrade report, *After 2000 days...*), with the share price up nearly 3x (up 160% vs. TAIEX up 41%) over the past three months — mainly driven by the company's solid messaging about its TPU project (guiding up 2026 contribution to be above USD2bn from USD1bn, and pulling forward its ASIC market share target from 2028E to 2027E, during the company's *April earnings call*) and TSMC's (2330 TT, Buy) growing capacity allocation, we think. We have received questions on whether this bright outlook is priced in following the record-level share price surge, but it looks to us that potential upside remains ample. We raise our 2026-28F earnings forecasts by 9-96% with a higher TP of TWD5,800 (vs TWD3,400 previously) based on an unchanged 25x target P/E applied to our 2027-28F average EPS. The stock now trades at 16.7x average 2027-28F EPS.

Upside in TPU, non-TPU ASICs and even non-AI business

From a top-down point of view, Google's (GOOGL US, NR) AI upside potential remains too large to ignore, given Gemini's proven performance and share gain (*Fig. 1* - *Fig. 2*). Accordingly, we expect the chip/hardware supply chain to strongly support TPU into 2027F. As such, we expect MTK to tone up its 2026-27F ASIC sales guidance again during its July earnings call (thanks to TPU v.8t upside). For 2028, the year when its TPU v.9 project ramps (using Intel's EMIB-T packaging), no capacity or volume number has been confirmed (still 18 months away) and Intel's (INTC US, NR) execution on EMIB-T remains to be seen. However, given EMIB-T being the sole-source solution for this project (no CoWoS-version, in our view, despite MTK management claiming it had a dual path during its *April call*), we continue to expect the Street to give this project the benefit of the doubt before its tape-out by end-2026. In the meantime, there are quite a few other ASIC projects with top US hyperscaler/AI companies in discussion. We now assume USD2.5bn/USD14bn/USD36bn in ASIC sales in 2026F/2027F/2028F (from USD2bn/USD10bn/USD18bn). Last but not least, MTK has announced that it would increase chip prices (though scale and timing have not yet been specified; we estimate 5-10% from Sep 2026F) across all of its major product lines. Price hike is common for tech supply chain in this cycle (to pass on rising costs). We note that QCOM, its major competitor, would follow suit and raise prices too — indicating unchanged market share but higher price for MediaTek's non-AI business.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (TWD)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	595,966	648,114	660,019	961,886	1,109,900	1,258,162	1,856,210
Reported net profit (mn)	105,319	100,221	108,834	179,897	245,659	253,681	495,999
Normalised net profit (mn)	105,319	100,221	108,834	179,897	245,659	253,681	495,999
FD normalised EPS	66.16	62.97	68.38	113.00	154.31	159.35	311.57
FD norm. EPS growth (%)	-1.1	-4.8	3.4	79.4	125.6	41.0	101.9
FD normalised P/E (x)	58.6	–	56.7	–	25.1	–	12.5
EV/EBITDA (x)	45.4	–	44.6	–	20.7	–	10.3
Price/book (x)	15.5	–	14.3	–	10.5	–	7.0
Dividend yield (%)	1.4	–	1.4	–	3.2	–	6.4
ROE (%)	26.4	24.2	26.0	37.7	47.7	43.6	66.7
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

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Key data on MediaTek

Performance

(%)	1M	3M	12M		
Absolute (TWD)	-9.0	144.0	200.8	M cap (USDmn)	195,149.2
Absolute (USD)	-10.2	144.3	173.7	Free float (%)	68.8
Rel to Taiwan TAIEX Index	-15.3	105.3	95.1	3-mth ADT (USDmn)	1,406.2

Income statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	530,586	595,966	660,019	1,109,900	1,856,210
Cost of goods sold	-267,200	-312,886	-358,471	-618,144	-1,044,373
Gross profit	263,386	283,080	301,548	491,756	811,837
SG&A	-28,981	-31,304	-34,601	-58,185	-97,309
Employee share expense	-131,993	-148,306	-160,529	-176,093	-183,101
Operating profit	102,412	103,470	106,419	257,478	531,427
EBITDA	123,348	126,444	128,681	275,612	546,196
Depreciation	-12,560	-13,336	-12,423	-10,119	-8,242
Amortisation	-8,376	-9,639	-9,840	-8,015	-6,528
EBIT	102,412	103,470	106,419	257,478	531,427
Net interest expense	10,696	10,167	9,814	10,213	14,187
Associates & JCEs	7,569	5,825	6,857	11,913	20,130
Other income	-1,159	5,426	2,474	4,268	7,106
Earnings before tax	119,519	124,888	125,563	283,873	572,850
Income tax	-12,378	-18,770	-15,817	-36,699	-74,324
Net profit after tax	107,141	106,118	109,746	247,174	498,525
Minority interests	-754	-798	-912	-1,515	-2,526
Other items	0	0	0	0	0
Preferred dividends					
Normalised NPAT	106,387	105,319	108,834	245,659	495,999
Extraordinary items	0				
Reported NPAT	106,387	105,319	108,834	245,659	495,999
Dividends	-86,070	-85,583	-87,068	-196,527	-396,799
Transfer to reserves	20,317	19,736	21,767	49,132	99,200
Valuations and ratios					
Reported P/E (x)	58.0	58.6	56.7	25.1	12.5
Normalised P/E (x)	58.0	58.6	56.7	25.1	12.5
FD normalised P/E (x)	58.0	58.6	56.7	25.1	12.5
Dividend yield (%)	1.4	1.4	1.4	3.2	6.4
Price/cashflow (x)	39.5	37.9	104.8	31.9	17.0
Price/book (x)	15.7	15.5	14.3	10.5	7.0
EV/EBITDA (x)	46.1	45.4	44.6	20.7	10.3
EV/EBIT (x)	54.8	54.9	53.4	22.1	10.5
Gross margin (%)	49.6	47.5	45.7	44.3	43.7
EBITDA margin (%)	23.2	21.2	19.5	24.8	29.4
EBIT margin (%)	19.3	17.4	16.1	23.2	28.6
Net margin (%)	20.1	17.7	16.5	22.1	26.7
Effective tax rate (%)	10.4	15.0	12.6	12.9	13.0
Dividend payout (%)	80.9	81.3	80.0	80.0	80.0
ROE (%)	27.8	26.4	26.0	47.7	66.7
ROA (pretax %)	22.8	21.8	20.6	42.1	69.1
Growth (%)					
Revenue	22.4	12.3	10.7	68.2	67.2
EBITDA	37.1	2.5	1.8	114.2	98.2
Normalised EPS	38.0	-1.1	3.4	125.6	101.9
Normalised FDEPS	38.0	-1.1	3.4	125.6	101.9

Source: Company data, Nomura estimates

Cashflow statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	123,348	126,444	128,681	275,612	546,196
Change in working capital	14,977	18,102	-58,340	-61,141	-136,634
Other operating cashflow	17,729	18,247	-11,418	-20,927	-45,155
Cashflow from operations	156,055	162,793	58,923	193,544	364,406
Capital expenditure	-13,771	-15,009	-18,296	-18,296	-18,296
Free cashflow	142,284	147,784	40,627	175,248	346,110
Reduction in investments	283	-69	-1,851	0	0
Net acquisitions					
Dec in other LT assets	0	-909	-207	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	-22,440	-21,766	2,212	0	0
CF after investing acts	120,127	125,039	40,781	175,248	346,110
Cash dividends	-87,551	-86,070	-85,583	-87,068	-196,527
Equity issue	0	0	0	0	0
Debt issue	0	0	0	0	0
Convertible debt issue	0	0	0	0	0
Others	5,724	-7,375	17,259	0	0
CF from financial acts	-81,827	-93,445	-68,324	-87,068	-196,527
Net cashflow	38,300	31,594	-27,543	88,181	149,583
Beginning cash	165,396	203,696	235,290	207,747	295,928
Ending cash	203,696	235,290	207,747	295,928	445,511
Ending net debt	-200,074	-227,555	-185,003	-273,183	-422,766

Balance sheet (TWDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	203,696	235,290	207,747	295,928	445,511
Marketable securities	15,928	12,419	10,265	10,265	10,265
Accounts receivable	44,713	62,121	91,259	136,156	230,663
Inventories	58,414	67,235	101,344	149,501	256,022
Other current assets	28,274	20,392	18,688	18,688	18,688
Total current assets	351,025	397,456	429,303	610,537	961,149
LT investments	172,525	171,501	183,636	192,743	202,471
Fixed assets	56,917	60,427	68,067	76,244	86,299
Goodwill	0	0	0	0	0
Other intangible assets	82,257	80,262	80,392	72,378	65,850
Other LT assets	35,143	34,138	35,008	35,008	35,008
Total assets	697,868	743,785	796,407	986,911	1,350,777
Short-term debt	940	940	16,440	16,440	16,440
Accounts payable	40,777	48,710	61,806	93,718	158,113
Other current liabilities	225,186	253,700	243,808	243,808	243,808
Total current liabilities	266,902	303,350	322,053	353,966	418,360
Long-term debt	2,681	6,795	6,305	6,305	6,305
Convertible debt	0	0	0	0	0
Other LT liabilities	23,228	24,444	24,217	24,217	24,217
Total liabilities	292,812	334,590	352,575	384,488	448,882
Minority interest	8,428	8,594	8,167	8,167	8,167
Preferred stock	0	0	0	0	0
Common stock	16,017	16,039	16,039	16,039	16,039
Retained earnings	380,610	384,562	419,626	578,217	877,689
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	396,627	400,601	435,665	594,256	893,728
Total equity & liabilities	697,868	743,785	796,407	986,911	1,350,777
Liquidity (x)					
Current ratio	1.32	1.31	1.33	1.72	2.30
Interest cover	–	–	–	–	–
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (TWD)	66.92	66.16	68.38	154.31	311.57
Norm EPS (TWD)	66.92	66.16	68.38	154.31	311.57
FD norm EPS (TWD)	66.92	66.16	68.38	154.31	311.57
BVPS (TWD)	247.63	249.76	271.63	370.50	557.22
DPS (TWD)	53.66	53.36	54.28	122.53	247.39
Activity (days)					
Days receivable	34.6	32.7	42.4	37.4	36.2
Days inventory	69.4	73.3	85.8	74.1	71.1
Days payable	54.3	52.2	56.3	45.9	44.1
Cash cycle	49.7	53.8	72.0	65.5	63.1

Source: Company data, Nomura estimates

Company profile

MediaTek is the largest fabless semiconductor company in Taiwan. The company keeps developing leading-edge solutions for clients around the globe since it was established in 1997. Main product lines include smartphones, IoT, ASIC and connectivity/networking chips.

Valuation Methodology

Our TP of TWD5,800 is based on 25x our 2027-28F average EPS. Our target multiple of 25x is at its high end of historical range. The benchmark index for this stock is TAIEX.

Risks that may impede the achievement of the target price

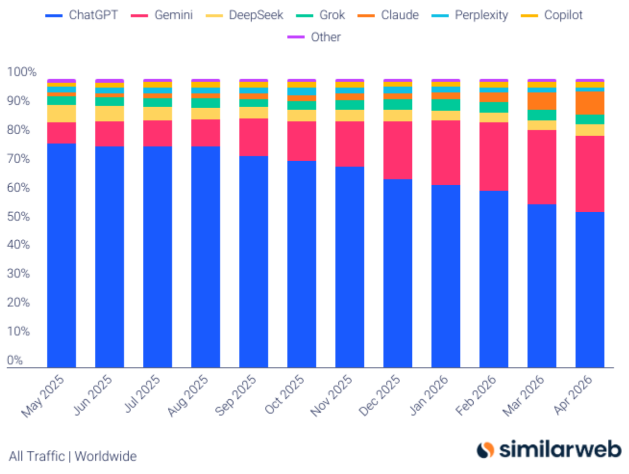
Key downside risks include: 1) fierce price competition from Qualcomm and Spreadtrum; 2) the company’s execution (i.e. a continuous rollout of good products in terms of specification, price and cost); 3) smartphone demand, especially in China and emerging markets, where MediaTek has higher revenue exposure; and 4) ASIC execution and competition.

ESG

MediaTek commenced its ESG engagement with six main aspects such as corporate governance and environmental management. The company also set a code of conduct to build its sustainable supply chain. About 80% of the company's suppliers will sign the code of conduct by 2021. Major aspects include labor/human rights and business ethics.

Fig. 1: Gen AI website traffic share

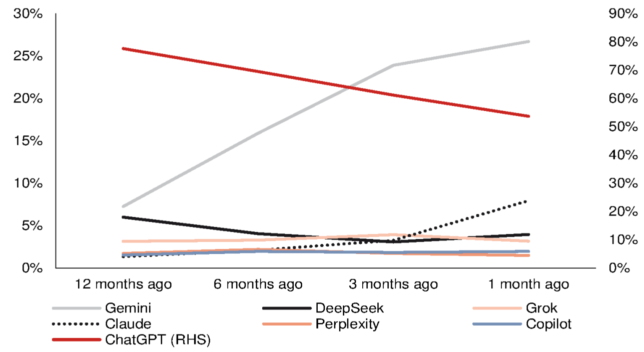
As of Apr 2026



Source: Similarweb

Fig. 2: Gen AI website traffic share

Gemini and Claude continued to grow



Source: Similarweb, Nomura research

Financial analysis and forecasts

Fig. 3: MediaTek – 2026-28F forecast revisions

	2026F			2027F			2028F		
(TWD mn)	Revised	Previous	Diff	Revised	Previous	Change	Revised	Previous	Change
Net sales	660,019	648,114	1.8%	1,109,900	961,886	15.4%	1,856,210	1,258,162	47.5%
Gross profit	301,548	295,624	2.0%	491,756	426,668	15.3%	811,837	555,901	46.0%
OPEX	(195,130)	(196,589)	(0.7%)	(234,278)	(235,247)	(0.4%)	(280,410)	(282,570)	(0.8%)
Operating profit	106,419	99,035	7.5%	257,478	191,420	34.5%	531,427	273,331	94.4%
Net profit	108,834	100,221	8.6%	245,659	179,897	36.6%	495,999	253,681	95.5%
EPS (TWD)	68.38	62.97	8.6%	154.31	113.00	36.6%	311.57	159.35	95.5%
Margin	Revised	Previous	Diff	Revised	Previous	Change	Revised	Previous	Change
Gross margin (%)	45.7	45.6	0.1 pp	44.3	44.4	-0.1 pp	43.7	44.2	-0.4 pp
OPEX ratio (%)	(29.6)	(30.3)	0.8 pp	(21.1)	(24.5)	3.3 pp	(15.1)	(22.5)	7.4 pp
Operating margin (%)	16.1	15.3	0.8 pp	23.2	19.9	3.3 pp	28.6	21.7	6.9 pp
Net margin (%)	16.5	15.5	1.0 pp	22.1	18.7	3.4 pp	26.7	20.2	6.6 pp

Source: Company data, Nomura estimates

Fig. 4: MediaTek – P&L

(TWD mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Net sales	153,312	150,369	142,097	150,188	149,151	152,110	156,067	202,692	263,239	273,787	274,613	298,261	595,966	660,019	1,109,900	1,856,210
Gross profit	73,809	73,878	66,112	69,281	69,055	70,036	71,928	90,529	116,057	121,240	122,017	132,442	283,080	301,548	491,756	811,837
- OPEX	(43,756)	(44,499)	(43,924)	(47,431)	(46,165)	(46,002)	(48,759)	(54,205)	(55,918)	(58,159)	(58,334)	(61,866)	(179,610)	(195,130)	(234,278)	(280,410)
Operating profit	30,053	29,379	22,188	21,850	22,891	24,035	23,169	36,324	60,139	63,081	63,683	70,576	103,470	106,419	257,478	531,427
Pretax profit	34,553	33,228	29,960	27,147	27,019	28,219	28,302	42,022	66,296	69,099	70,541	77,936	124,888	125,563	283,873	572,850
Net profit	29,325	27,848	25,221	22,925	24,154	24,102	24,290	36,289	57,634	59,606	60,972	67,446	105,319	108,834	245,659	495,999
EPS (TWD)	18.43	17.50	15.84	14.40	15.17	15.13	15.25	22.78	36.19	37.42	38.28	42.35	66.16	68.38	154.31	311.57
Profitability	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Gross margin	48.1%	49.1%	46.5%	46.1%	46.3%	46.0%	46.1%	44.7%	44.1%	44.3%	44.4%	44.4%	47.5%	45.7%	44.3%	43.7%
- OPEX ratio	(28.5%)	(29.6%)	(30.9%)	(31.6%)	(31.0%)	(30.2%)	(31.2%)	(26.7%)	(21.2%)	(21.2%)	(21.2%)	(20.7%)	(30.1%)	(29.6%)	(21.1%)	(15.1%)
Operating margin	19.6%	19.5%	15.6%	14.5%	15.3%	15.8%	14.8%	17.9%	22.8%	23.0%	23.2%	23.7%	17.4%	16.1%	23.2%	28.6%
Pretax margin	22.5%	22.1%	21.1%	18.1%	18.1%	18.6%	18.1%	20.7%	25.2%	25.2%	25.7%	26.1%	21.0%	19.0%	25.6%	30.9%
Net margin	19.1%	18.5%	17.7%	15.3%	16.2%	15.8%	15.6%	17.9%	21.9%	21.8%	22.2%	22.6%	17.7%	16.5%	22.1%	26.7%
Q-Q	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Net sales	11.1%	(1.9%)	(5.5%)	5.7%	(0.7%)	2.0%	2.6%	29.9%	29.9%	4.0%	0.3%	8.6%				
Gross profit	10.2%	0.1%	(10.5%)	4.8%	(0.3%)	1.4%	2.7%	25.9%	28.2%	4.5%	0.6%	8.5%				
- OPEX	(4.0%)	1.7%	(1.3%)	8.0%	(2.7%)	(0.4%)	6.0%	11.2%	3.2%	4.0%	0.3%	6.1%				
Operating profit	40.4%	(2.2%)	(24.5%)	(1.5%)	4.8%	5.0%	(3.6%)	56.8%	65.6%	4.9%	1.0%	10.8%				
Net profit	23.3%	(5.0%)	(9.4%)	(9.1%)	5.4%	(0.2%)	0.8%	49.4%	58.8%	3.4%	2.3%	10.6%				
Y-Y	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Net sales	14.9%	18.1%	7.8%	8.8%	(2.7%)	1.2%	9.8%	35.0%	76.5%	80.0%	76.0%	47.1%	12.3%	10.7%	68.2%	67.2%
Gross profit	5.6%	18.9%	2.7%	3.4%	(6.4%)	(5.2%)	8.8%	30.7%	68.1%	73.1%	69.6%	46.3%	7.5%	6.5%	63.1%	65.1%
- OPEX	16.0%	19.7%	8.5%	4.0%	5.5%	3.4%	11.0%	14.3%	21.1%	26.4%	19.6%	14.1%	11.6%	8.6%	20.1%	19.7%
Operating profit	(6.6%)	17.7%	(7.0%)	2.0%	(23.8%)	(18.2%)	4.4%	66.2%	162.7%	162.5%	174.9%	94.3%	1.0%	2.9%	141.9%	106.4%
Net profit	(7.0%)	8.3%	(0.5%)	(3.6%)	(17.6%)	(13.5%)	(3.7%)	58.3%	138.6%	147.3%	151.0%	85.9%	(1.0%)	3.3%	125.7%	101.9%

Source: Company data, Nomura estimates

Fig. 5: Nomura forecasts vs Bloomberg consensus

	2026F			2027F			2028F		
(TWD mn)	NMR	BBG	Diff (%)	NMR	BBG	Diff (%)	NMR	BBG	Diff (%)
Net sales	660,019	651,105	1.4	1,109,900	1,065,989	4.1	1,856,210	1,798,408	3.2
Gross profit	301,548	298,271	1.1	491,756	472,265	4.1	811,837	764,306	6.2
Operating profit	106,419	104,319	2.0	257,478	221,830	16.1	531,427	429,605	23.7
Net profit	108,834	105,956	2.7	245,659	205,976	19.3	495,999	366,126	35.5
EPS (TWD)	68.38	66.70	2.5	154.31	132.62	16.4	311.57	229.70	35.6
margin	NMR	BBG	Diff (pp)	NMR	BBG	Diff (pp)	NMR	BBG	Diff (pp)
Gross margin (%)	45.7	45.8	(0.1)	44.3	44.3	0.0	43.7	42.5	1.2
Operating margin (%)	16.1	16.0	0.1	23.2	20.8	2.4	28.6	23.9	4.7
Net margin (%)	16.5	16.3	0.2	22.1	19.3	2.8	26.7	20.4	6.4

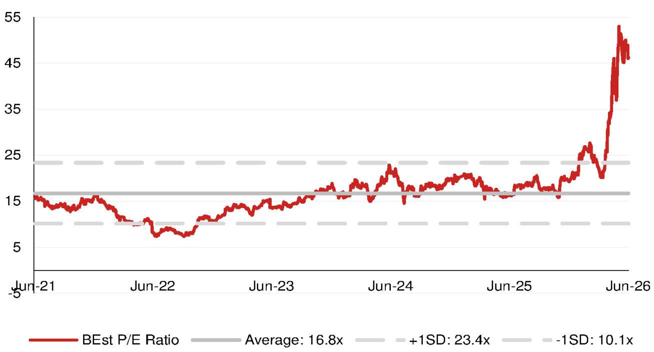
Source: Company data, Bloomberg Finance L.P., Nomura estimates

Valuation methodology and risks

Our TP of TWD5,800 is based on 25x our 2027-28F average EPS. Our target multiple of 25x is at the high end of its historical range.

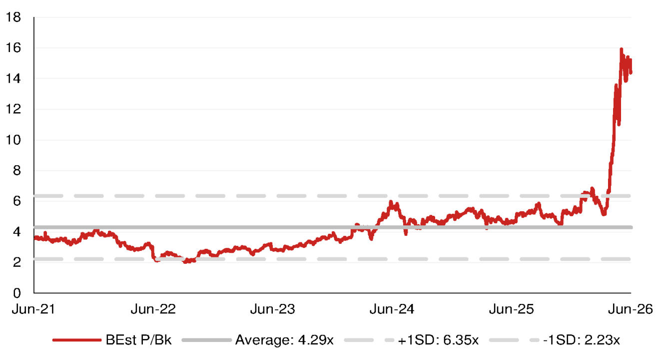
Key downside risks include: 1) fierce price competition from Qualcomm (QCOM US, NR) and Spreadtrum (unlisted); 2) the company's execution (i.e., a continuous rollout of good products in terms of specification, price and cost); 3) smartphone demand, especially in China and emerging markets, where MediaTek has higher revenue exposure; and 4) ASIC execution and competition.

Fig. 6: MediaTek's 5-year consensus P/E



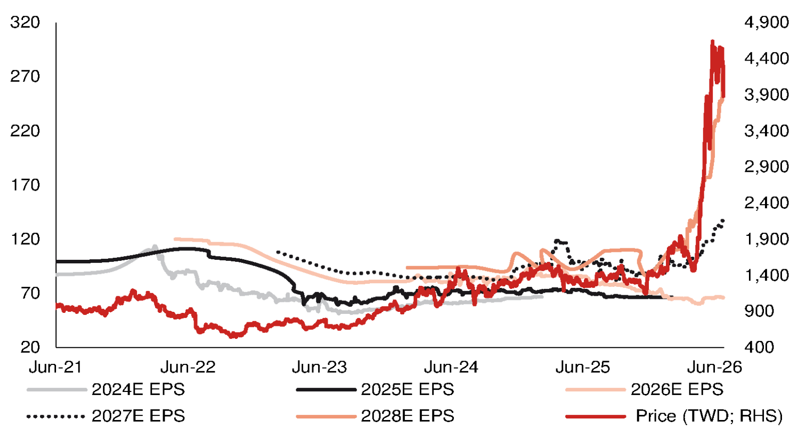
Source: Bloomberg Finance L.P., Nomura research

Fig. 7: MediaTek's 5-year consensus P/B



Source: Bloomberg Finance L.P., Nomura research

Fig. 8: MediaTek's share price vs Bloomberg consensus EPS revisions



Source: Company data, Bloomberg Finance L.P., Nomura research

Appendix A-1

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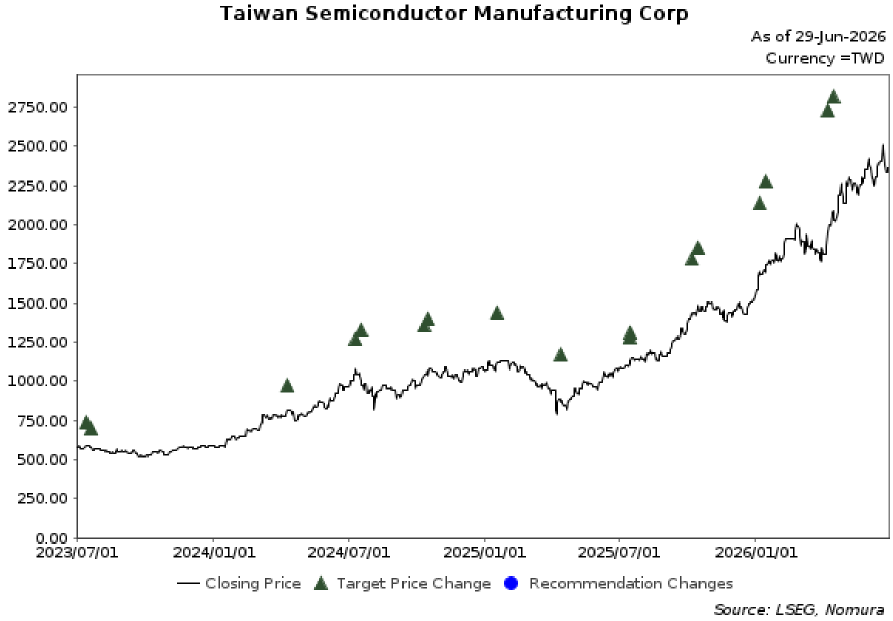
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Taiwan Semiconductor Manufacturing Corp	2330 TT	TWD 2,340.00	26-Jun-2026	Buy	N/A	
MediaTek	2454 TT	TWD 3,880.00	26-Jun-2026	Buy	N/A	

Taiwan Semiconductor Manufacturing Corp (2330 TT) **TWD 2,340.00 (26-Jun-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



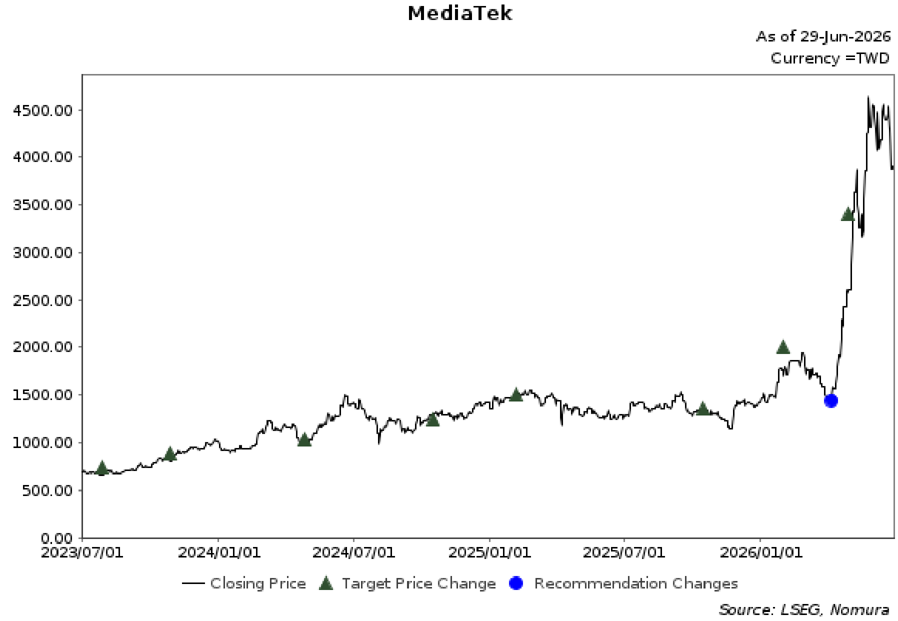
Date	Rating	Target price	Closing price
16-Apr-26		2,820.00	2,085.00
09-Apr-26		2,735.00	1,955.00
15-Jan-26		2,280.00	1,690.00
07-Jan-26		2,135.00	1,675.00
16-Oct-25		1,855.00	1,485.00
08-Oct-25		1,780.00	1,415.00
17-Jul-25		1,310.00	1,130.00
15-Jul-25		1,280.00	1,110.00
14-Apr-25		1,170.00	865.00
17-Jan-25		1,440.00	1,120.00
17-Oct-24		1,400.00	1,035.00
11-Oct-24		1,355.00	1,045.00
18-Jul-24		1,330.00	1,005.00
11-Jul-24		1,270.00	1,080.00
10-Apr-24		975.00	815.00
20-Jul-23		700.00	579.00
13-Jul-23		740.00	585.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD2,820 is based on 25x 2026-27F average EPS. Our target P/E is at the higher end of historical range. The benchmark index for the stock is Taiwan TAIEX and SOX.
Risks that may impede the achievement of the target price Major downside risks are: 1) top-down macro issues because of US-China trade tensions; 2) weaker-than-expected sell-through compared with strong demand in the supply chain; 3) slower-than-expected technology migration; and 4) stronger-than-expected competition in advanced 5/3nm nodes.

MediaTek (2454 TT) **TWD 3,880.00 (26-Jun-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
30-Apr-26		3,400.00	2,610.00
30-Mar-26	Buy		1,510.00
01-Feb-26		2,000.00	1,760.00
16-Oct-25		1,350.00	1,330.00
05-Feb-25		1,500.00	1,525.00
17-Oct-24		1,250.00	1,275.00
26-Apr-24		1,040.00	1,005.00
27-Oct-23		890.00	801.00
28-Jul-23		740.00	658.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD5,800 is based on 25x our 2027-28F average EPS. Our target multiple of 25x is at its high end of historical range. The benchmark index for this stock is TAIEX.

Risks that may impede the achievement of the target price Key downside risks include: 1) fierce price competition from Qualcomm and Spreadtrum; 2) the company’s execution (i.e. a continuous rollout of good products in terms of specification, price and cost); 3) smartphone demand, especially in China and emerging markets, where MediaTek has higher revenue exposure; and 4) ASIC execution and competition.

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